

13. The 'Special Economic Zones' were modelled on the lines of highly successful _____ experiment.

- (a) Chinese (b) Russian
(c) American (d) German
(e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (a)

India's SEZs were structured closely with China's successful model. Significantly, Special Economic Zone (SEZ) is an area in a country that is designed to generate positive economic growth.

14. Which of the following are the objectives of the SEZ Act, 2005?

1. Generation of additional economic activity
2. Promotion of exports of goods and services
3. Creation of employment

- (a) 1 and 3 only (b) 1, 2 and 3
(c) 2 and 3 only (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

The Special Economic Zones Act, 2005 was passed by the parliament in May, 2005, which received presidential assent on the 23rd June, 2005. The main objectives of the SEZ scheme is generation of additional economic activity, promotion of exports of goods and services, promotion of investment from domestic and foreign sources, creation of employment opportunities along with the development of infrastructure facilities.

Foreign Exchange, FDI &

External Debt

1. Convertibility of rupee implies :

- (a) being able to convert rupee notes into gold
(b) allowing the value of rupee to be fixed by market forces
(c) freely permitting the conversion of rupee to other currencies and vice-versa
(d) developing an international market for currencies in India

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

Convertibility of currency means when currency of a country can be freely converted into foreign exchange (international currencies) and vice-versa at market determined rate of exchange that is, exchange rate as determined by demand for and supply of a currency.

As a part of new economic reforms initiated in 1991, India made rupee partially convertible on current account from March, 1992 under the '**Liberalized Exchange Rate Management Scheme**' (LERMS) involving dual exchange rates (60% by market-determined exchange rate and 40% by RBI at fixed exchange rate). From March, 1993, rupee was made convertible for all trade in merchandise. In March, 1994, even invisibles and remittances from abroad were allowed to be freely convertible. In August, 1994, India accepted IMF Article VIII and thus the rupee officially became convertible on the current account.

After that, India has come a long way in liberating the capital account transactions also in the last three decades and currently has partial capital account convertibility.

Full convertibility of Indian rupee (on both current and capital accounts) is being advocated because that will allow free mobility of capital in the country from the foreign investors and will attract more foreign capital inflow. It will also enable the domestic companies to raise more funds from abroad. Hence, full convertibility of rupee would facilitate growth and higher foreign investment.

2. Which of the following States of India received the highest Foreign Direct Investment (FDI) equity flow during April to September 2022?

- (a) Gujarat (b) Karnataka
(c) Tripura (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (b)

In the given option, Karnataka received (Rs. 41,678 crores) the highest Foreign Direct Investment (FDI) equity flow during April-September, 2022. Amongst the all states of India, Maharastra received (Rs. 62,425 crores) the highest FDI equity flow during April-September, 2022.

Note : Maharashtra, Gujarat and Karnataka were the top three Indian states receiving the most FDI in financial year 2023-24.

3. The Foreign Exchange Reserves (FER) of RBI include which of the following?

1. Foreign Currency Assets (FCA)
2. Gold

3. Special Drawing Rights (SDR)

4. Reserve Tranche Position

Select the correct answer using the codes given below.

- (a) Only 1 and 2 (b) Only 2, 3 and 4
(c) Only 1, 2 and 3 (d) All of the above

69th B.P.S.C. (Pre) 2023

Ans. (d)

The Foreign Exchange Reserves of RBI includes Foreign Currency Assets (FCA), Gold, Special Drawing Right (SDR) and Reserve Tranche Position (RTP) i.e. all of the above answer.

4. Which one of the following measures is not likely to aid in improving India's Balance of Payment position?

- (a) Promotion of Import Substitution Policy
(b) Devaluation of rupee
(c) Imposition of higher tariff on imports
(d) Levying of higher duties on exports
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (d)

Promotion of Import Substitution Policy, devaluation of rupee and imposition of higher tariff on imports will be helpful in improving India's Balance of Payment position while levying of higher duties on exports will reduce the volume of exports and thus not likely to aid in improving India's Balance of Payment position.

5. The visit of foreigners in India to see the various places or events in the country amounts to which of the following in terms of economy?

- (a) Production (b) Consumption
(c) Import (d) Export
(e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (d)

If a foreigner is coming to India and then purchasing some items then it is a case of exports. Foreigner is coming to India and see the various place or events in the country amount to Export in terms of economy.

6. What was India's share in World Exports by commodity divisions and groups in 2018?

- (a) 1.7% (b) 0.7%
(c) 2.1% (d) 1.3%
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (a)

As per Economic Survey 2023-24 the India's share in global merchandise exports is 1.8 percent and imports is 2.8 percent while India's share in global service export is 4.3 percent in the Financial Year 2023 from an average of 3.3 percent during financial year 16 to financial year 2020.

7. At present the country has adopted-

- (a) Partial convertibility of Indian currency
(b) Full convertibility of Indian currency
(c) Full convertibility of current account
(d) Full convertibility of capital account

43rd B.P.S.C. (pre)1999

Ans. (c)

The then Finance Minister Manmohan Singh implemented the **Liberalized Exchange Rate Management System** (LERMS) of the rupee on the current account from the year 1992-93. 40% of the foreign earnings under LERMS will be converted at the exchange rate determined by RBI and the remaining 60% at the market determined rate. In the year 1993-94, Finance Minister Manmohan Singh declared the rupee fully convertible on the trade account (exports + imports). Moving in this direction, the rupee was made fully convertible on the current account of the balance of payments account in the year 1994-95. At present, the rupee is fully convertible on the current account and partially convertible on the capital account.

8. In which year the Indian rupee was devalued twice a month?

- (a) 1990 (b) 1991
(c) 1994 (d) 1999

44th B.P.S.C. (Pre) 2000

Ans. (b)

In 1991, on the 1st and 3rd of July, the Indian rupee was Devaluate by about 18-19% relative to the currencies of 5 major countries of the world (America, Germany, Japan, France and Britain).

9. Rupee was devalued for the last time-

- (a) July, 1991 (b) July, 1993
(c) July, 1997 (d) July, 2001

45th B.P.S.C. (Pre) 2001-02

Ans. (a)

The Indian rupee was last devalued on July 3, 1991. The Government of India devalued the Indian Rupee against five major currencies (US Dollar, Pound Sterling, Franc, Mark and Yen) in two phases (1st and 3rd July, 1991) by about 18-19 per cent.

10. Which sector in India attracts the highest FDI equity flow?

- (a) Construction Sector (b) Energy Sector
(c) Automobile Sector (d) Service Sector
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

As per the question period, option (d) was the correct answer. As per Ministry of Commerce and Industry, computer & software & hardware attracts the highest FDI equity flow (from April 2022 to March 2023). During FY 2023-24 computer software and hardware sector remained highest in FDI inflow with US \$ 7.9 billion.

11. The DPIIT, under the Ministry of Commerce and Trade, was established in

- (a) 1995 (b) 2005
(c) 2010 (d) 2015
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

The Department for promotion of Industry and Internal Trade (DPIIT) under Ministry of Commerce was established in the year 1995 and was reconstituted in the year 2000 with the merger of the Department of Industrial Development. The Department was earlier called Department of Industrial Policy & Promotion and was renamed as DPIIT in January, 2019.

12. In Bihar, during April-June 2018, which sector attracted the highest FDI equity inflow?

- (a) Service sector
(b) Steel industry
(c) Processing industry in agriculture
(d) Cement industry
(e) None of the above/More than one of the above

64thB.P.S.C. (Pre) 2018

Ans. (a)

In Bihar, during April-June 2018, services sector attracted the highest FDI equity in flow. Top 5 sectors received highest FDI equity inflow during FY 2023-24 are service sector (Finance, Banking, Insurance, Non Financial Business, Outsourcing, RED, Courier, Tech etc.).

13. Foreign currency which has a tendency of quick migration is called :

- (a) Hot currency

(b) Gold currency

- (c) Soft currency (d) Hard currency

56th to 59th B. P. S.C. (Pre) 2015

Ans. (a)

Hot currency (or money) signifies currency that quickly and regularly moves between financial markets, that ensures investors lock in the highest available short-term interest rates. Hot money continuously shifts from countries with low-interest rates to those with higher rates. These financial transfers affect the exchange rate and potentially impact a country's balance of payments.

14. Hard currency means the currency which-

- (a) very difficult to bear.
(b) Very difficult to earn.
(c) belongs to developed countries.
(d) Is the developing countries.

43rd B.P.S.C. (Pre) 1999

Ans. (c)

Hard currency refers to the currencies of developed countries. Hard currency refers to money that is issued by a nation that is seen as politically and economically stable and it is widely accepted around the World.

15. Which of the following is a bond through which Indian entities can raise money from foreign markets in rupees, and not in foreign currency?

- (a) Corporate Bonds
(b) Masala Bonds
(c) Municipal Bonds
(d) Zero-coupon Bonds
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

Masala Bonds are bonds through which Indian entities can raise money from foreign markets in rupees, and not in foreign currency. Masala Bonds are rupee-denominated borrowings issued by Indian entities in overseas market. The objective of Masala Bonds is to fund infrastructure projects in India, fuel internal growth via borrowing and internationalize the Indian currency. The issuer of these bonds is shielded against the risk of currency fluctuations, typically associated with borrowing in Indian currency.

Note : Masala bonds were introduced in India in 2014 by International Financial Corporation. It was issued to raise funds for infrastructure projects.

16. Which of the following payment instrument introduced by banks is known as plastic currency?

- (a) Bearer check (b) Credit card
(c) Demand draft (d) Gift check

44th B.P.S.C. (Pre) 2000

Ans. (b)

In view of the developing nature of the economy, the instruments of the banks are also changing. In this sequence, to facilitate the transaction, banks started issuing credit cards to their customers. The customer can pay for the purchase of goods by means of a credit card and an amount equal to the value of the purchase is transferred from the customer's bank account to the related party. Credit cards, debit cards and cash cards are also known as 'plastic money'.

17. The exchange rate of Indian rupee is determined by-

- (a) In relation to the United States (US) dollar
(b) In relation to the British pound
(c) In respect of some selected currencies
(d) None of the above

41st B.P.S.C. (Pre) 1996

Ans. (d)

From 1975 to 1992, the exchange rate of the Indian rupee was determined on the basis of a basket of developed countries' currencies. The currencies of the five countries/groups were kept in this forex basket namely Dollar of USA, Yen of Japan and Pound Sterling of UK, Renminbi of China and Euro. From March, 1992 to March, 1993 Dual system of market and fixed rate was adopted and from March, 1993 the exchange rate of rupee was being determined on the basis of demand and supply in the market.

18. In the fiscal year 2018-19, the total foreign exchange reserves are :

- (a) Rs. 34,55,882 crores (b) Rs. 30,55,882 crores
(c) Rs. 32,55,882 crore (d) Rs. 28,55,882 crore
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (d)

In the fiscal year 2018-19 (end-March, 2019), the total foreign exchange reserves of India was at Rs. 28,55,882 crore. In the fiscal year 2021-22 (as on 25 March, 2022), it is increased to Rs. 47,07,396 crore (US \$ 617.65 billion). As per the Economic Survey 2023-24, India was the 4th (\$ 646.4 billion) largest foreign exchange reserves holder in the world while China (1), Japan (2) and Switzerland (3) holds largest foreign reserve in the world.

19. In the recent Union Budget, F.M. has increased the Foreign Direct Investment (FDI) limit..... in the insurance sector from the present.

- (a) 50% (b) 62%
(c) 74% (d) 100%
(e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (c)

The increase in the Foreign Direct Investment (FDI) limit in the insurance sector from 49 percent to 74 percent was announced by Finance Minister Nirmala Sitharaman in the Budget 2021-22, effective from August, 2021.

20. According to the Reserve Bank of India, what was the total values of the foreign exchange reserves of India in 2018-19?

- (a) 493560 million US dollar
(b) 481078 million US dollar
(c) 477807 million US dollar
(d) 412871 million US dollar
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (d)

According to the Reserve Bank of India, the total values of the foreign exchange reserves of India in 2018-19 (in end-March 2019) was at US \$ 412871 million. As on July 28, 2023, India's foreign exchange reserves stood at US \$ 603870 million. As on 11 Sep 2024, total foreign reserve in India is 6,83,987 million US dollar.

21. In which year the new currency 'Euro' was introduced ?

- (a) 1996 (b) 1997
(c) 1998 (d) 1999

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

Euro was introduced on January 1, 1999. The first three years it was invisible currency only used for accounting purposes and electronic payments. Euro coins & bank notes were launched on January 1, 2002, and in 12 European Union (EU) the biggest cash changeover in history took place.

22. The Prevention of Money Laundering Act came into force in India during :

- (a) 1998 (b) 1999
(c) 2001 (d) 2005
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)